

The Small-Basket Problem

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₹140 worth items in your cart

Free delivery starts at **₹199**

What will you do?

Add more

Pad the basket to hit ₹199

Pay fee

Absorb the delivery cost

Abandon

Leave the order entirely

Small orders create a customer price problem — and a fulfillment economics problem for quick commerce.

Why Small Baskets Are Hard

The 10-minute promise makes small orders disproportionately expensive

1

Small basket

₹99–₹199 typical order range



2

Fast fulfillment

10–20 minute delivery leaves limited room to consolidate orders



3

High fulfillment burden

Delivery cost can be ~₹40–₹80/order, with last-mile representing ~40–50% of logistics cost

Low order value + high fulfillment cost = weak order economics

Existing Solutions Leave a Gap

The market addresses small baskets—but not the underlying speed–economics trade-off.

Current lever	What it does	Limitation
Small-cart / delivery fees	Monetizes expensive small orders	Can discourage conversion
Minimum thresholds	Encourages larger baskets	Can cause padding or abandonment
Scheduled delivery	Gives the platform more timing flexibility	Does not necessarily create a customer incentive to trade speed for savings
Batching	Can reduce fulfillment cost	Primarily an operational mechanism

Can we connect a customer's willingness to wait with the platform's ability to batch?

THE HYPOTHESIS

Flexible Delivery

Trade speed for savings. Create time for batching.

EXPRESS

10–15 min

Normal fee

vs.

FLEXIBLE

60–120 min

Save ₹5–₹20

How CUSTOMER wins?

Gets a meaningful saving for accepting a wider delivery window

How PLATFORM wins?

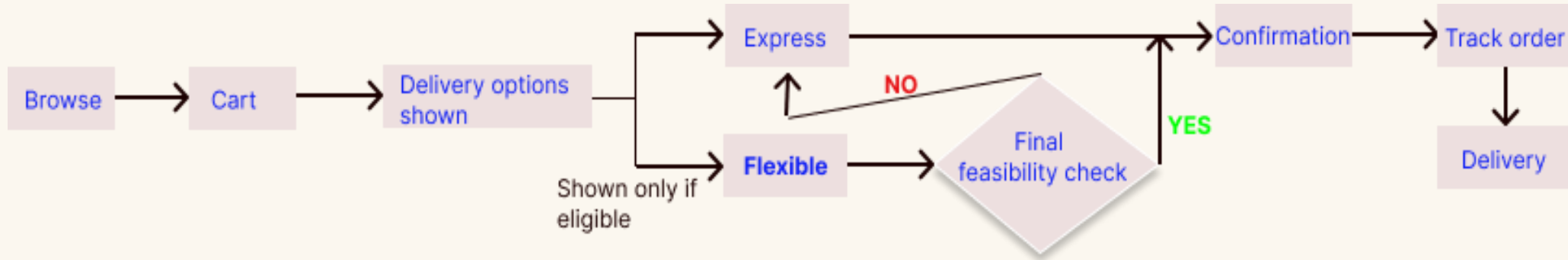
Gets more time to **batch** compatible orders and lower fulfillment cost

The question is :

*Will enough customers choose Flexible — and will enough Flexible orders actually **batch** — to improve small-order economics?*

Customer Flow

How Flexible Delivery fits into the existing ordering journey

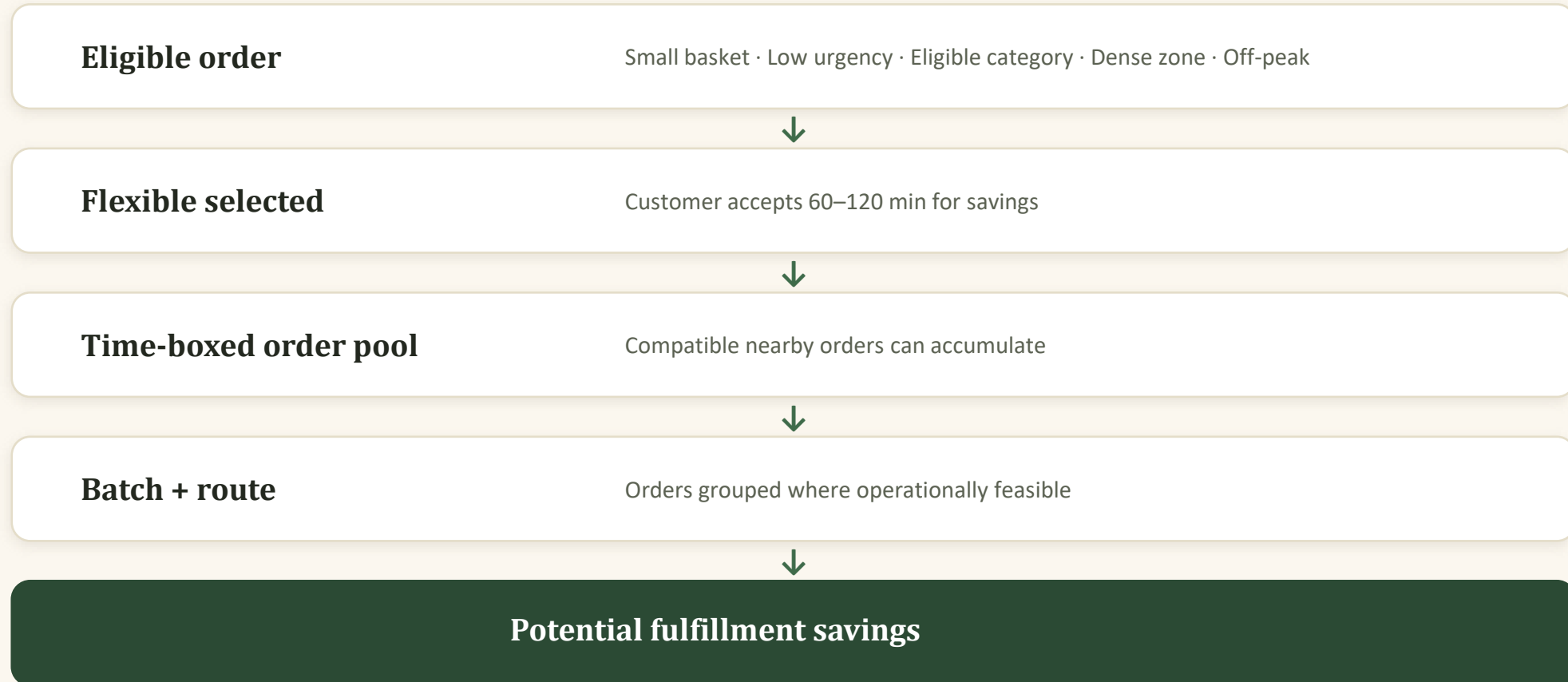


A final feasibility check prevents the customer from being promised a Flexible slot that cannot be operationally supported.

MECHANISM

How Flexible Creates Value

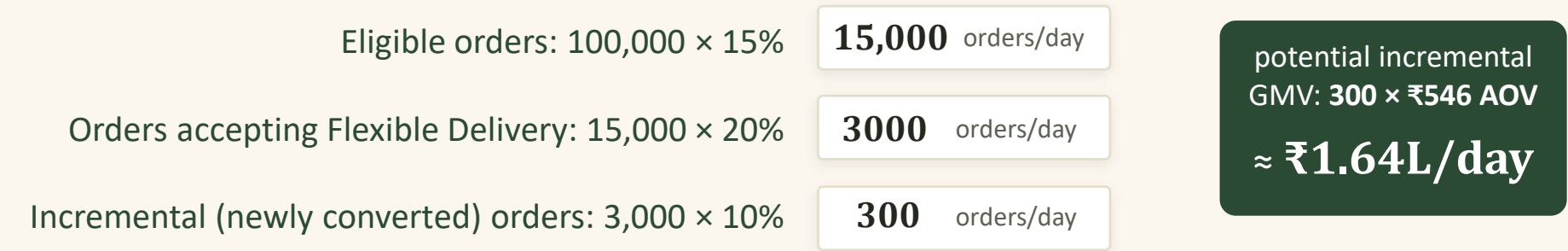
The wider SLA creates a batching opportunity — not a guarantee



*Not every Flexible order needs to batch. **The key metric is the realized batching rate across accepted Flexible orders.***

Does the Economics Work?

Illustrative assumptions: 100K orders/day, 15% Flexible-eligible, 20% acceptance, 10% recovery, ₹10 incentive/order, ₹60 saving per successfully batched order. ₹546 AOV



Customer incentives: ₹30,000/day

3K Flexible orders $\times$ ₹10 average saving

REALIZED BATCHING Rate:
How many Flexible orders actually get batched?

Realised batching rates	Orders batched	Fulfillment savings	Net operational Impact (noi)
30% (conserved)	900	₹10,800	-₹19,200/day
50% (base)	1500	₹18,000	-₹1,2000/day
70% (optimistic)	2100	₹25,200	-₹4,800/day

noi = total savings –
Total customer incentives

83% realized batching would be needed for fulfillment savings alone to cover the incentive.

The model shows upside, but the economics are not proven on fulfillment savings alone.
Saving per batched order: Batched Flexible orders $\times$ delivery cost/order $\times$ batching-driven cost reduction: $₹60 \times 20\% = ₹12$

Decision

ITERATE / CONTROLLED PILOT

WHY NOT SHIP?

- Fulfillment savings do not cover the incentive at tested 30–70% batching rates.
- Recovered-order contribution has not been quantified.
- Cannibalization could reduce the true incremental value.

WHY NOT DON'T BUILD?

- The customer trade-off is plausible.
- A wider Service Level Agreement (SLA) creates a credible opportunity for batching.
- The mechanism is testable without a full rollout.

Test before scaling

The current evidence is strong enough to justify a controlled experiment — but not strong enough to justify broad deployment.

What the Pilot Must Prove

Two unknowns determine whether Flexible Delivery can work

1

Flexible Acceptance

Will customers actually trade speed for savings?

MEASURE

Eligible → Flexible selected

Test ₹5 / ₹10 / ₹15 savings.

2

Realized Batching

Do accepted Flexible orders actually batch?

MEASURE

Flexible accepted → successfully batched

GUARDRAILS

Contribution/order

Cannibalization

SLA adherence

The pilot is not primarily testing whether customers like a slower option. It is testing whether customer flexibility translates into operational and economic value.

Rs546 is an FY2024 India hyperlocal delivery AOV benchmark (Makreo), used as a proxy; actual AOV of Flexible-eligible orders should be validated in the pilot.